

How the best of the best actually do this

Michael — you were right to stop me. I researched Oracle Retail Xstore (the point-of-sale that runs a large share of enterprise chain retail), the ERP deposit patterns, the IRS's own structuring manual, and the cannabis-specific cash vendors. Two findings matter. One says **do not build what you asked about**. The other says **we are missing a piece**.

Finding 1: the pros do NOT match deposits to tills

This was your question, and the answer is a clear no. Oracle Xstore runs cash in three layers, not two:

Till → Store Safe → Bank Deposit.

A till is counted and *reconciled into the store safe*. The bank deposit is then prepared **from the safe**, not from any till. The deposit is a safe-level event. Xstore's own manual is explicit that "deposits from the reconciled till are made to the store safe," and the bank deposit function lives under **Store Safe Maintenance** — a different menu from till management entirely.

So the thing we recorded in our census as a shortcoming — "the deposit is attributed to business days, not to named register sessions" — is not a shortcoming. **It is the enterprise pattern**. Nobody ties a bank credit back to a specific cashier's drawer, because cash is fungible the moment two drawers are counted into one safe, and pretending otherwise creates false precision.

Employee accountability is real, but it lives somewhere else: in the **over/short at reconcile time**, per named cashier. Xstore calls this "Till Accountability" mode — a till is assigned to a *named person*, follows that person to whatever register they work, and is counted at handoff, so every transfer of custody is a checkpoint. That is where you catch a person. The deposit is where you catch the *bank*. Two different controls, two different places. We currently have the over/short account (50920) but tills are not yet assigned to named people — that is the real gap, and it is a payroll-era item, not a deposit item.

Finding 2: the unit is the BAG, not the day

Here is what we are missing, and it is a genuine adjustment.

Xstore identifies every deposit bag with a **unique scannable ID** and runs it through a four-state lifecycle: **Available → Undeclared → Counted → Deposited → Available**. A bag is atomic — "all the money that is in a safe bag is used in the function... There is no option to use only half the money." One currency per bag. When a bag goes to the bank it is marked *Deposited*, and its amount and currency go blank in the store's own records because, as the manual puts it, "this money is not in the store any longer." There is even a **Return Safe Bag** function for when the physical bag comes back from the night drop.

There is also a control I want to steal outright: cash pulled from a drawer into a bag is **Undeclared** until it is counted into the safe, and until then "that cash is still a part of the drawer." You cannot close the register with an undeclared bag outstanding. That single rule prevents the most common cash fraud in retail.

Why this matters for us: we keyed the deposit pool on **business day**. For your procedure a bag *is* a day, so nothing we built is wrong. But the bag ID is the durable identifier, and it does something the date cannot — it makes "oldest first" **a fact instead of a convention**. Right now our code honestly admits FIFO is a guess about which bag you handed the teller. With a bag ID on the deposit slip, it stops being a guess. That retires a stated weakness rather than papering over it.

The cannabis vendors confirm the same shape from the other direction: the smart-safe programs sell a **three-way match** where "the smart safe count, the pickup manifest, and the bank deposit should all reference the same transaction identifiers." Same idea — a shared ID is what makes reconciliation take minutes instead of hours.

Finding 3: the \$10,000 question, answered from the law

You asked whether multiple sealed bags is a workaround. I read the IRS's own structuring manual (IRM 4.26.13) and FinCEN's aggregation ruling, and I need to correct something implied in my earlier answer.

Multiple bags is not a workaround, because there is nothing to work around. Three points:

1. **The CTR is the bank's paperwork, not yours.** A CTR being filed on your deposit is routine and harmless. It is not a penalty, an audit trigger, or a mark against you. *Wanting to avoid one* is what creates the crime.
2. **Splitting cannot evade it anyway.** FinCEN Ruling 2003-1 confirms a bank aggregates multiple same-day transactions by the same person. Two bags totalling \$14,000 handed over the same day are one \$14,000 reportable transaction. The

regulation reaches "one or more transactions... in any amount... on one or more days."

3. **Purpose is the entire offense.** Structuring requires acting "for the purpose of evading" reporting. The IRM instructs examiners that "accounting entries are not evidence of a structuring violation," and that a violation needs all four of: structured to avoid a CTR, knowledge of the rules, **no legitimate purpose**, and material amounts. It even tells examiners to "eliminate legitimate reasons for the pattern," giving the example of an insurance policy capping cash on site.

Your procedure has an obvious legitimate purpose — one bag per business day so each deposit matches the day that produced it — and that purpose is now documented in the source code, dated, with your own words. That is exactly the evidence an examiner is told to look for. **Your daily-bag plan is the safe plan, and it is safe because the bag size is decided by the day's sales, not by the threshold.**

But here is the control worth building. The IRM lists the examiner's own test: "Does currency fluctuate to keep the deposit at or below \$10,000?" We can run that test on ourselves. If a deposit lands under \$10,000 while undeposited cash on hand is *over* \$10,000, that is the shape that draws attention — and you would want to know, because the innocent explanation (a missed bank run) is also the one that makes the pattern look deliberate over time.

What I recommend we adjust

Three things, smallest first:

A. Add a deposit bag with an ID. One bag per business day, as you planned, but the bag carries a number that goes on the deposit slip and into the books. This upgrades FIFO from convention to fact and gives you the three-way match the enterprise vendors sell. Low cost — we already fold by day, and a bag is a day.

B. Add the bag status lifecycle and the undeclared-bag block. A bag cannot be deposited twice, and a shift cannot close with cash pulled but never counted in. This is the anti-fraud control, and it is nearly free once the bag exists.

C. Add the structuring self-check as a warning, not a refusal. Consistent with your last decision: post it, flag it, explain it.

And one thing to **stop** worrying about: matching deposits to individual tills. The best of the best do not do it, and we should record that we deliberately do not either — with the Oracle citation, so the next person to ask gets the answer instead of building it.

Tell me which of A, B, C you want and I will build the next slice around them.